salaries, interest and pensions exceeded 100 per cent of revenues in many cases. Burgeoning deficits in the power sector contributed their mite to the fiscal misery.

States were in a major debt trap.

It was very common for states to avail ways and means advance (WMA) from RBI to remain afloat. Several states were using WMA for more than 200–250 days a year. For quite a few states, WMA was not sufficient to keep their treasuries open. Many states routinely resorted to overdrafts from RBI. Overdrafts came at a higher rate of interest and with stricter conditionalities. If the overdraft was not cleared in a certain number of days, RBI would cut off the payment service. Though RBI is the banker to the states, in such situations it did not honour their bills and cheques. Simply put, the treasury of the state was closed and all payments stopped.

The fiscal stress of the states was so acute in the first few years of the new millennium that closing of the treasury had become a routine event. The treasury of one major state—Assam—remained closed for over 200 days in 2003.

The situation was bordering on hopelessness in the initial years of the new millennium. Something drastic had to be done.

The NDA government led by Atal Bihari Vajpayee decided to take the bull by the horns and took several policy initiatives, beginning in 2003, which successfully remedied the situation by 2006.

First, the government decided to control raising of excessive debt. The FRBM Act for the Union was legislated in the year 2003. The FRBM Act and Rules placed a limit on the overall fiscal deficit of the Centre.

The default resource policy until 2000 of ‘raising as much debt as you can’ was given up in favour of ‘borrowing only this much’. This altered the basic objective and process of budget making. The game changed from raising debt to fill the balance between expenditure and revenues to